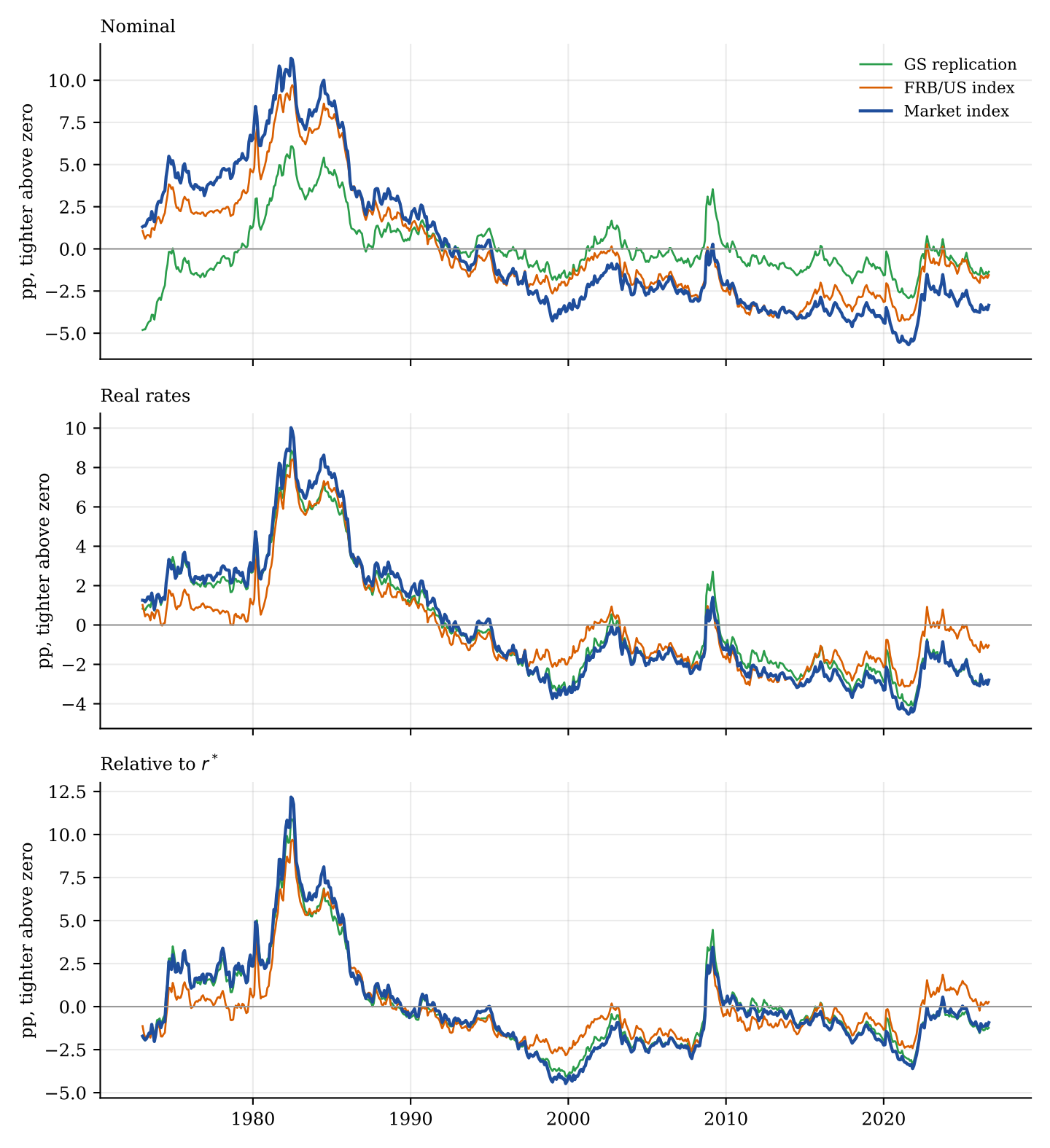

Nominal
GS replication
FRB/US index
Market index
pp, tighter above zero
10.0
7.5
5.0
2.5
0.0
−2.5
−5.0
Real rates
pp, tighter above zero
10
8
6
4
2
0
−2
−4
Relative to r^*
pp, tighter above zero
12.5
10.0
7.5
5.0
2.5
0.0
−2.5
−5.0
1980
1990
2000
2010
2020